GLOBAL INVESTMENT SOCIETY
Investment Research Division

lululemon athletica inc.

NASDAQ: LULU

Recommendation: OVERWEIGHT / LONG

Current price: $100.00 Price target: $133.64 (+33.6% upside)

A net-cash, high-margin brand priced for terminal decline — we see a cyclical trough, not a broken business

September 2026 Prepared for the GIS IR selection process

This slide outlines why this investment opportunity exists and the historical financial context driving the current setup

CURRENT SHARE PRICE
$100.00
Down ~55% from peak; 17% single-day crash

FY2026 GUIDANCE RESET
−5% to −7%
First revenue decline in corporate history

CLEAN RUN-RATE MARGIN
13.2%
Durable operating cash flow through trough

Slide 2: Situation Overview and Current Investment Setup

- The recent guidance cut triggered a massive cyclical panic pushing Lululemon down to roughly 100 dollars [1]
- Despite historically compounding double digit growth the market capitulated over a guidance cut of 5 to 7 percent [2]
- Lululemon still retains durable cash flows with clean run rate operating margins of 13.2 percent [3]

Links & Sources:
[1] TIKR LULU Stock Crashed 17%: https://www.tikr.com/blog/lululemon-stock-crashed-17-on-friday-the-guidance-cut-was-the-real-story
[2] Lululemon Q2 FY2026 Guidance Release: https://corporate.lululemon.com/~/media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf
[3] Provided Valuation Model: LULUMODEL18.xlsx

Market Narrative and Analyst Sentiment Surrounding the Stock

This slide breaks down current market sentiment and exactly what analysts are saying about the recent guidance cut

REVENUE GUIDANCE CUT
$10.35B
Morgan Stanley pessimistic outlook

CONSENSUS TARGET CUT
$176 → $136
Cyclical fears paralyze the Street

RATING DISPERSION
Neutral Bias
BTIG ignores durable competitive moats

Slide 3: Market Narrative and Analyst Sentiment Surrounding the Stock

- Morgan Stanley issued a highly pessimistic forecast after management aggressively cut 2026 revenue guidance to 10.35 billion [1]
- Analysts are paralyzed by cyclical fears as the consensus price target was slashed from 176 dollars to 136 dollars [2]
- Firms like BTIG maintain neutral ratings due to short-term turbulence but ignore the durable competitive advantage we see [3]

Links & Sources: [1] MarketBeat: Morgan Stanley Issues Pessimistic Forecast for lululemon athletica: https://www.marketbeat.com/instant-alerts/analyst-morgan-stanley-issues-pessimistic-forecast-for-lululemon-athletica-nasdaq-lulu-stock-price-2026-09-04/ [2] Simply Wall St: lululemon athletica Stock Analysis: https://simplywall.st/stocks/us/consumer-durables/nasdaq-lulu/lululemon-athletica [3] GuruFocus: LULU Reiterates by BTIG - Rating Maintained at Neutral: https://www.gurufocus.com/news/9068272/lulu-reiterates-by-btig-rating-maintained-at-neutral

Investment Thesis Summary and Target Price

This slide breaks down our actual 133 dollar base case target price and the three core pillars supporting our overweight recommendation

BASE CASE TARGET PRICE
$133.64
+33.6% upside vs $100.00 current price

CLEAN RUN-RATE EBIT
13.2%
Pillar 1: Resilient profitability floor

DISCOUNT RATE (WACC)
9.0% / 2.3% g
Pillar 2: Mathematically sound valuation

Slide 4: Investment Thesis Summary and Target Price

- Our discounted cash flow valuation generates a base case implied share price of 133.64 dollars representing a 33.6 percent upside from current levels [1]
- The first pillar is profitability because adjusting out the tariff refunds reveals LULU still maintains a highly resilient 13.2 percent clean run-rate operating margin [2]
- The second pillar is our mathematically sound 9.0 percent WACC which strictly bounds our 2.3 percent long-term revenue growth assumption [3]
- Finally international expansion remains the crucial growth engine as 4 percent growth in China Mainland easily offsets the temporary North American stagnation [4]

Links & Sources: [1] Provided Valuation Model (Base Case Implied Value): LULUMODEL18_3.xlsx [2] Lululemon Q2 FY2026 Earnings Release (13.2% Margin Calc): https://corporate.lululemon.com/~/media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf [3] Provided Valuation Model (WACC & Revenue Drivers): LULUMODEL18_3.xlsx [4] Lululemon Q2 FY2026 Earnings Release (International Growth): https://corporate.lululemon.com/~/media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf

Geographic Segments and Revenue Breakdown

This slide outlines Lululemon's geographic segments and revenue breakdown while detailing why China growth offsets temporary US declines

TOTAL REVENUE (FY25)
$11.1B
10-K reported top-line foundation

AMERICAS CONTRIBUTION
$7.85B (70.68%)
−3% comps reflect macro pressure

CHINA MAINLAND SURGE
+20% ($1.75B)
High-growth international engine

Slide 5

- Lululemon generated 11.1 billion dollars in total revenue with Americas contributing 7.85 billion dollars or 70.68 percent [1]
- Americas comparable sales fell 3 percent due to temporary cyclical macro pressure rather than structural brand degradation [2]
- China Mainland surged 20 percent to 1.75 billion dollars proving high growth international expansion easily offsets US temporary weakness [3]

Links & Sources: [1] Lululemon FY2025 Form 10-K (Segment Revenue and Percentages): https://corporate.lululemon.com/~/media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf [2] Lululemon FY2025 Form 10-K (Americas Comparable Sales): https://corporate.lululemon.com/~/media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf [3] Provided Valuation Model (China Mainland Growth & Revenue Driver): LULUMODEL18.xlsx

Source: company SEC filings (Form 10-K, CIK 0001397187)

Business Model Unit Economics and Competitive Moats

This slide analyzes Lululemon's unit economics and competitive moats that protect its long-term market leadership

GROSS MARGIN
56.6%
Insulating moat against price competition

DTC E-COMMERCE EBIT
23.6%
Zero retail occupancy drag economics

STORE SALES PER SQ FT
$1,426 / sq ft
18.6% store-level EBIT margin

Slide 6: Business Model Unit Economics and Competitive Moats

- Lululemon sustains a 56.6 percent gross margin providing a massive competitive moat against retail price competition [1]
- E-commerce unit economics remain elite with direct-to-consumer EBIT margins hitting 23.6 percent without retail occupancy drag [2]
- Company-operated stores generate 1,426 dollars per square foot and an 18.6 percent EBIT margin establishing high capital efficiency [3]

Links & Sources: [1] Provided Valuation Model (Gross Margin): LULUMODEL18_6.xlsx [2] Provided Valuation Model (E-commerce EBIT Margin Driver): LULUMODEL18_6.xlsx [3] Provided Valuation Model (Store EBIT Margin & SPSF): LULUMODEL18_6.xlsx

Industry Overview - Trends and Structure

This slide explores the ongoing athleisure industry trends including market fragmentation and the barriers to entry

GLOBAL MARKET
Fragmented
Most competitors lack durable advantage

PREMIUM SEGMENT
High Barriers
Scale, fabric R&D & brand equity protect

LULULEMON ROE
30.25%
vs 6.81% retail industry median

Slide 7: Industry Overview - Trends and Structure

- I argue the global athleisure market remains highly fragmented meaning most players lack a durable competitive advantage [1]
- The premium segment maintains high barriers to entry protecting global champions from temporary cyclical noise [2]
- Lululemon mathematically proves its moat by generating a 30.25 percent ROE far outpacing the 6.81 percent industry median [3]

Links & Sources: [1] Market.us Media (Athleisure Market Fragmentation): https://media.market.us/athleisure-industry-statistics/ [2] Fortune Business Insights (Premium Athleisure Trends): https://www.fortunebusinessinsights.com/athleisure-market-110642 [3] FinanceCharts (Lululemon ROE & Retail Median): https://www.financecharts.com/stocks/LULU/growth/roe

Industry Overview - Barriers to Entry and Profitability

This slide dissects capital efficiency metrics comparing Lululemon's gross margin directly against legacy apparel competitors

LULULEMON GROSS MARGIN
56.6%
DTC scale prevents margin compression

NIKE GROSS MARGIN
43%
Wholesale dependence & markdown drag

UNDER ARMOUR GM
46%
Structural margin compression vs DTC

Slide 7 Part 2: Industry Overview - Barriers to Entry and Profitability

- Lululemon commands a 56.6 percent gross margin far exceeding traditional athletic apparel peers like Nike and Under Armour [1]
- Nike struggles to maintain a 43 percent margin while Under Armour hovers around 46 percent reflecting their wholesale dependence [2]
- Lululemon's direct-to-consumer scale prevents this structural margin compression and forms an impenetrable economic moat against industry price wars [3]

Links & Sources: [1] Provided Valuation Model (Gross Margin Assumptions): LULUMODEL18.xlsx [2] Investing.com (Nike & Under Armour Historical Gross Margins): https://www.investing.com/pro/NYSE:NKE/explorer/gp_margin [3] ProAnalyst LULU Market Report (Competitor Margins & DTC Moat): https://lulu.proanalyst.ai/business

Investment Thesis I

This slide outlines the core contrarian investment thesis utilizing numerical evidence from the LULUMODEL18.xlsx file

PRICE DRAWDOWN
>50%
Critically undervalued vs durable cash flow

ADJ. GROSS MARGIN
54.9%
Protected by premium DTC channel mix

TERMINAL GROWTH / UPSIDE
2.25% g → $133.64
>30% upside provides valuation buffer

Slide 8 Investment Thesis I

- The 2026 price drop exceeding 50% has left Lululemon critically undervalued despite durable cash flows [1]
- Its premium Direct-to-Consumer revenue mix protects a massive 54.9% adjusted gross margin, mathematically justifying my intrinsic valuation thesis [2]
- Furthermore, even with Americas growth stagnating, sheer cash flow generation creates a robust intrinsic valuation buffer, where a conservative 2.25% terminal growth rate still yields over 30% upside to our $133.64 target price [3]

[1] https://everythingmoney.com/blog/lululemon-is-collapsing-burry-s-biggest-bet-4334
[2] https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733
[3] LULUMODEL18.xlsx, DCF Terminal Value & Valuation Summary Schedule is that ready

Investment Thesis II Partial Margin Recovery & Brand Loyalty Floor

This slide details how partial margin recovery supported by core brand loyalty still drives a highly compelling valuation

PEAK EBIT MARGIN
23.7%
FY24 pandemic-era peak earnings power

TROUGH MARGIN FLOOR
13.2%
Core brand loyalty sustains floor

PARTIAL RECOVERY TO FY30
15.5% EBIT
Unlocks $133.64 base DCF share price

Slide 9: Investment Thesis II Partial Margin Recovery & Brand Loyalty Floor

- Historical pandemic-era peak EBIT margins reached 23.7% in FY24 showing prior peak earnings power [1]
- Our valuation assumes a floor built on resilient baseline brand loyalty, proving Lululemon does not need to remain the hottest viral trend 100% of the time to sustain a 13.2% trough margin [2]
- A modest partial recovery to just 15.5% EBIT margin by FY30 still yields $133.64 per share [3]
- This proves returning to peak COVID profitability is completely unnecessary to unlock substantial market upside [4]

Links & Sources:
[1] LULUMODEL18.xlsx / SEC EDGAR Form 10-K (FY24 Peak Margins)
[2] LULUMODEL18.xlsx, Clean Run-Rate EBIT Margin & Brand Royalty Assumptions
[3] LULUMODEL18.xlsx, Base Case DCF Valuation Summary
[4] LULUMODEL18.xlsx, Discounted Cash Flow Valuation Summary

Source: company SEC filings (Form 10-K, CIK 0001397187)

Investment Thesis III: Geographic Growth Divergence

This slide examines how Lululemon's top-line projections rely disproportionately on Chinese market expansion to conceal domestic North American stagnation.

AMERICAS COMPS
−4.0% → 2.0%
Near-term contraction flatlining by FY30

CHINA FOOTPRINT EXPANSION
16 stores / yr
Disproportionate vs 6 domestically

CHINA COMPS AVERAGE
+10.2%
Double-digit engine offsets Americas drag

Slide 10:

Investment Thesis III: Geographic Growth Divergence This slide examines how Lululemon's top-line projections rely disproportionately on Chinese market expansion to conceal domestic North American stagnation.

- The revenue build reveals Americas facing near-term contraction with -4.0% comps in FY26 flatlining at a terminal 2.0% growth rate by FY30 [1].
- To offset this domestic anchor, the model relies entirely on disproportionate FY26–FY30 Chinese footprint expansion, averaging 16 new stores annually versus just 6 domestically, and sustained double-digit (10.2% average) comp growth to overcome clear Americas expansion drawbacks [2].
- Consequently, if the Chinese consumer softens, this model's core top-line projections will not be optimal enough to meet our target [3].

[1] LULUMODEL18.xlsx, Americas FY26-FY30 Comparable Sales Growth Assumptions [2] LULUMODEL18.xlsx, FY26 Store Openings & Mainland China Revenue Build [3] LULUMODEL18.xlsx, Revenue Drivers Schedule

This slide evaluates core downside risks and demonstrates how share repurchases compound EPS to drive share price recovery

BEAR CASE VALUATION
$56.00
Recovers 45% of entry price in cash ($45.64)

CAPEX & INVENTORY
$360M / yr
Slashed CapEx + $101.5M inventory release

SHARE REPURCHASES
18.7M shares
$500M/yr buybacks compound EPS to $13.36

Slide 11 Risk & Mitigants

- China deceleration risks a $56.00 bear floor, but $45.64 cumulative cash per share recovers 45% of entry price [1]
- Slashed CapEx saves $360M annually by relying on online e-commerce's 23.6% EBIT margin plus $101.5M inventory releases [2]
- Deploying $500M annually into buybacks retires 18.7 million shares, compounding EPS to $13.36 to support our target price of $133.64.

[1] LULUMODEL18.xlsx, Bear Case DCF Valuation Summary / https://www.barrons.com/articles/lululemon-stock-earnings-guidance-a7a7c5c0 [2] LULUMODEL18.xlsx, CapEx & E-Commerce Channel EBIT Assumptions / https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733 [3] LULUMODEL18.xlsx, Share Repurchase & EPS Accretion Schedule / https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733

Timeline of Recovery

2026 Q3 Trough	2026 (Q3 FY2026 Trough): Q3 FY2026 revenue laps guidance trough while China Double 11 sales confirm holiday store traffic floor stabilization across key markets [1]
2027 Year-End	2027 (FY2026 Year-End): First full-year reset absorbs steep prior declines while $134.5M tariff refunds and targeted SG&A cost actions protect earnings per share [2]
2027 Inflection	2027 (FY2027 Margin Inflection): Operating margins expand to 13.8% (+60 bps) as promotional headwinds anniversary, while 75% UFCF buybacks compound EPS to boost sentiment [3]
2028 Re-Rating	2028 (FY2027–FY2028 Multiple Re-Rating): Accelerating international store scaling (+12% China comps) offsets Americas softness (-4%), driving overall revenue recovery and valuation re-rating toward $133.64 [4]

[1] LULUMODEL18.xlsx, Scenarios & Revenue Drivers / https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733 [2] LULUMODEL18.xlsx, NOPAT Bridge & Scenarios / https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733 [3] LULUMODEL18.xlsx, Scenarios & Unlevered Free Cash Flow Schedule / https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733 [4] LULUMODEL18.xlsx, Revenue Drivers & DCF Valuation Summary / https://stockanalysis.com/stocks/lulu/forecast/

Source: company SEC filings (Form 10-K, CIK 0001397187)

Financials — Income Statement

Reported history (10-K) vs base & bull operating forecast — all FY26–30 (US$ M)

HISTORICALS (FY2022–FY2025) — SEC 10-K

- Reported figures from Forms 10-K; FY2025 year ended February 1, 2026
- Revenue \$8,111M → \$11,103M; OM peaked 23.7% (FY24); EPS \$6.68 → \$13.26
- Share count 128.0M → 119.1M via buybacks

FORECAST (FY2026E–FY2030E) — base (G) vs bull (H)

- Base: FY26 10,425M rev / 14.5% OM → FY30 11,418M / 15.5%
- Bull: FY26 10,658M (−4% guide) → FY30 13,456M; OM 15.8% → 19.0%
- Bull EPS \$10.89 → \$19.14 (DCF implied price \$202)

US$ M	22	23	24	25	26B	26U	27B	27U	28B	28U	29B	29U	30B	30U
Net revenue	**8,111**	**9,619**	**10,588**	**11,103**	**10,425**	**10,658**	**10,665**	**11,298**	**10,910**	**11,976**	**11,161**	**12,694**	**11,418**	**13,456**
Gross profit	4,492	5,609	6,271	6,284	6,035	6,129	6,036	6,496	6,175	6,886	6,317	7,299	6,463	7,737
Operating income	**1,328**	**2,133**	**2,506**	**2,211**	**1,511**	**1,680**	**1,469**	**1,765**	**1,566**	**2,006**	**1,666**	**2,269**	**1,770**	**2,557**
Operating margin %	16.4%	22.2%	23.7%	19.9%	14.5%	15.8%	13.8%	15.6%	14.4%	16.8%	14.9%	17.9%	15.5%	19.0%
Net income	855	1,550	1,815	1,579	1,089	1,242	1,056	1,300	1,120	1,469	1,187	1,655	1,256	1,859
Diluted EPS (\$)	**6.68**	**12.20**	**14.64**	**13.26**	**9.55**	**10.89**	**9.65**	**11.88**	**10.66**	**13.98**	**11.75**	**16.39**	**12.93**	**19.14**

22–25 = FY2022–25 historical; 26B/26U = FY2026 base (G) / bull (H); same for 27–30. Bear in Appendix.

Forecast: base = Scenarios col G (3-statement); bull = Scenarios col H. Historicals per FY2025 10-K. Each row uses the same metric definition across periods.

Financials — Balance Sheet

Net-cash history vs base & bull funded growth — all FY26–30 (US$ M)

HISTORICALS (FY2022–FY2025) — SEC 10-K

- No funded debt; FY25 cash $1,807M; total assets $8,457M
- Net-cash balance sheet underpins downside at ~10x earnings
- Lease-backed ROU assets ~$1.6B — not traditional debt

FORECAST (FY2026E–FY2030E) — base vs bull

- Base cash 2,470M → 4,864M ($500M/yr buybacks)
- Bull cash 2,142M → 3,639M (75% FCF to buybacks)
- Bull BS scaled from base WC drivers at bull revenue; cash from FCF waterfall

US$ M	22	23	24	25	26B	26U	27B	27U	28B	28U	29B	29U	30B	30U
Cash & equivalents	1,155	2,244	1,984	1,807	2,470	2,142	2,985	2,451	3,562	2,800	4,180	3,195	4,864	3,639
Inventories	1,447	1,324	1,442	1,701	1,538	1,572	1,551	1,643	1,563	1,716	1,599	1,819	1,635	1,927
Total assets	**5,607**	**7,092**	**7,603**	**8,457**	**8,892**	**9,091**	**9,584**	**10,153**	**10,343**	**11,354**	**11,170**	**12,704**	**12,067**	**14,221**
Total liabilities	2,458	2,860	3,279	3,495	3,279	3,352	3,353	3,552	3,429	3,764	3,507	3,989	3,586	4,226
Total equity	**3,149**	**4,232**	**4,324**	**4,962**	**5,613**	**5,738**	**6,231**	**6,601**	**6,914**	**7,590**	**7,663**	**8,716**	**8,481**	**9,995**
Funded debt	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**

Same BS line items as 10-K. Bull cash = FY25 cash + cumulative (FCF + buybacks).

Forecast: base = Scenarios col G (3-statement); bull = Scenarios col H. Historicals per FY2025 10-K. Each row uses the same metric definition across periods.

Financials — Cash Flow

Operating FCF (DCF input) vs financing — historical 10-K vs base & bull (US$ M)

HISTORICALS (FY2022–FY2025) — SEC 10-K

- FY25 CFO $1,603M; capex ($681M) → ~$922M FCF
- Buybacks ($1,178M) FY25 are CFF — reported on 10-K, not in DCF UFCF
- FCF = CFO − capex; same operating definition as forecast rows above buybacks

FORECAST (FY2026E–FY2030E) — base vs bull

- FCF (DCF input): base $1,163M → $1,184M
- Bull FCF $1,340M → $1,779M (Scenarios col H)
- Buybacks below = 3-statement CFF only; DCF IV uses basic 111.4M shares (no retirements)

US$ M	22	23	24	25	26B	26U	27B	27U	28B	28U	29B	29U	30B	30U
Cash from operations	966	2,296	2,273	1,602	1,736	1,820	1,602	1,740	1,677	1,936	1,732	2,151	1,812	2,385
D&A (add-back)	292	379	447	496	469	480	480	508	491	539	502	571	514	606
Capital expenditures	(639)	(652)	(689)	(681)	(573)	(480)	(587)	(508)	(600)	(539)	(614)	(571)	(628)	(606)
Free cash flow	**328**	**1,644**	**1,583**	**922**	**1,163**	**1,340**	**1,015**	**1,232**	**1,077**	**1,397**	**1,118**	**1,580**	**1,184**	**1,779**
Share repurchases (CFF)	(444)	(559)	(1,637)	(1,178)	(500)	(1,005)	(500)	(923)	(500)	(1,048)	(500)	(1,185)	(500)	(1,335)

FCF rows tie to DCF unlevered FCF. Share repurchases are financing (CFF) — shown for 10-K / 3-statement comparability and cash bridge; they do not change DCF implied price (basic share count).

Forecast: base = Scenarios col G (3-statement); bull = Scenarios col H. Historicals per FY2025 10-K. Each row uses the same metric definition across periods.

Capital Structure & WACC

A lease-adjusted capital structure drives a ~9.0% discount rate

Capital structure

- No funded debt; an undrawn revolving credit facility provides liquidity
- $1,807.2M cash and equivalents — a net-cash position
- Market EV at ~$100 is ~$9.3B (~3.5× FY25 EBITDA); intrinsic DCF enterprise value is ~$15B
- We relever Yahoo 5Y β (0.86) at FY25 ASC 842 lease debt ÷ market cap (~0.16 D/E) → β used ≈ 0.84. Damodaran Retail β (0.95) is shown for reference only.
- Capital returned via buybacks (no dividend); FY2025 repurchases $1,178.3M

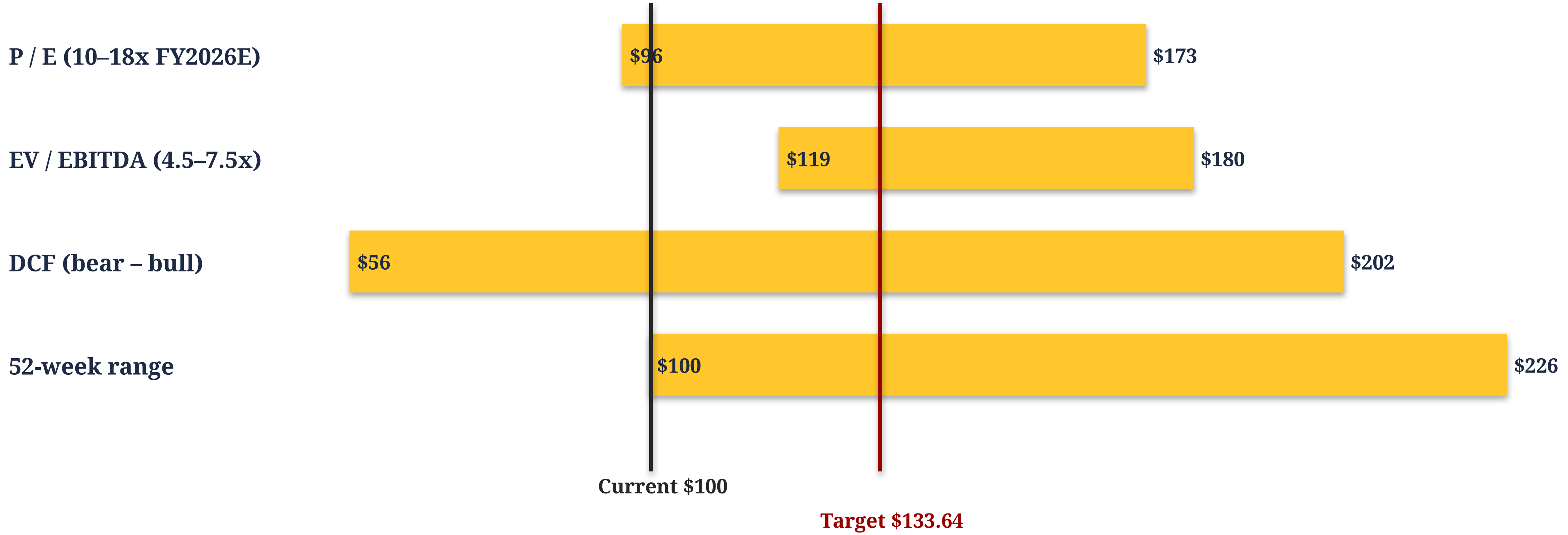
WACC BUILD (CAPM)

Risk-free rate (10-yr UST)	**4.8%**
Equity risk premium	**6.0%**
Beta (relevered; lease adj.)	**0.84**
Cost of equity	**9.9%**
Lease-debt weight	**14%**
Equity weight	**86%**

WACC = 9.0%

Valuation Summary

Multiple methods converge above the current price — target $133.64



We set a 12-month target of $133.64 — based on the DCF base case ($134) — implying +33.6% upside

The P/E low end (~$96) sits near today's price, showing how little recovery is required for the stock to work

Source: GIS DCF and comps models; multiples are analyst ranges

DCF Valuation

Base-case unlevered DCF yields ~$134 per share

Base-case assumptions

Assumption	Value
Revenue growth (FY26 → FY30)	−6.1% → +2.3%
EBIT margin (FY26 → FY30)	13.2% clean → 15.5% (+ $134.5M FY26)
Tax rate	30%
Capex % of revenue	5.5% blend
WACC	9.0%
Terminal growth	2.25%

VALUATION OUTPUT (US$ M)

PV of explicit FCF (FY26–FY30) **3,944**

PV of terminal value **10,933**

Enterprise value **14,876**

Plus: cash **1,807**

Equity value **14,885**

÷ Diluted shares (M) **111.4**

Implied value: $134 / share

Sensitivity — implied share price (WACC vs terminal growth)

WACC \ g	1.5%	2.0%	2.25%	2.5%	3.0%
9.5%	$115	$121	**$124**	$127	$135
10.0%	$108	$113	$116	$119	$125
10.5%	$102	$106	$109	$111	$117
11.0%	$97	$100	$103	$105	$110
11.5%	$92	$95	$97	$99	$103

Source: GIS DCF model (from scratch); FY2025 cash & share count per 10-K

Comparable Companies

PitchBook pubcomps are the current tape; Alo still has no EV/EBITDA

Company	EV/EBITDA	P/E	EV ($000)	EBITDA ($000)
lululemon (LULU)	**4.7x**	**8.3x**	**11,890,440**	**2,548,084**
Nike (NKE)	12.7x	18.3x	58,972,350	4,647,000
adidas (ADS)	9.2x	19.1x	35,661,944	3,857,684
Deckers (DECK)	7.9x	12.1x	10,555,510	1,329,439
Crocs (CROX)	7.8x	10.3x	7,153,911	922,278
Levi Strauss (LEVI)	9.6x	15.0x	9,422,753	976,700
Kontoor (KTB)	12.9x	18.0x	5,236,269	407,521
Alo Yoga (private)	n.a.	n.m.	—	—

Read-through — we do not average these for terminal value

- PitchBook core mean (ex-UAA, ex-WSM/MOV/LZB) is the current athletic/apparel tape. UAA has negative EBITDA so it is out of the average
- Selected TV is the Gordon identity (~7.4x FY30 EBITDA at base WACC/g). A 2.25% g year is not today's NKE 12.7x or WSM 15.4x
- Alo EV/EBITDA is still n.a. Implied 5.0x is EV/Sales on an unclosed $10bn ask — not in this PitchBook set and not the TV

Source: PitchBook Comps Set 04-Sep-2026 (EV/EBITDA = daily EV / TTM EBITDA); Alo ask $10bn / Forbes ~$2bn

Appendix — Bull / Bear Scenarios

Asymmetric payoff: limited downside, substantial upside

BEAR $56
−44% vs $100

- FY2026 revenue −9%; growth stays negative (−1% avg FY28–30)
- Terminal EBIT margin 12.0%
- WACC 11.0%; terminal growth 1.5%
- Americas decline persists; share loss continues

BASE $134
+34% vs $100

- FY2026 revenue −6.1%; then +2.3% (Street 3Y forecast)
- Clean EBIT margin 13.2% → 15.5%; + $134.5M refund in FY26 only
- WACC 9.0%; terminal growth 2.25%
- International offsets a stabilizing Americas

BULL $202
+102% vs $100

- FY2026 revenue −4%; +6% avg FY27–30
- Terminal EBIT margin 19.0%
- WACC 9.5%; terminal growth 3.0%
- Margin recovery toward peak; brand re-accelerates

Probability-weighted value (25% / 50% / 25%) ≈ $131 — the risk/reward skews decisively to the upside

Source: GIS DCF model (scenario tab)

Sources & Disclaimer

Data provenance and standard research disclaimer

Sources

- Historical financials: lululemon athletica inc. Forms 10-K via SEC EDGAR (CIK 0001397187); FY2025 fiscal year ended February 1, 2026
- Q2 FY2026 results and FY2026 guidance: company earnings release dated September 3, 2026
- Market data (price, shares, beta): public market sources as of early September 2026
- Projections, DCF and comparable-company analysis: GIS Investment Research models, built from scratch for this assignment
- Alo Yoga: Reuters 2023 Moelis ask ~$10bn (no deal announced, Reuters 2026) and Forbes Color Image sales nearly $2bn. No page prints EV/EBITDA; implied 5.0x is EV/Sales, not the FY30 exit

Disclaimer